

Mark Scheme

Sample assessment materials
for first teaching September
2017

International GCSE in Business
(4BS1/02)

Paper 2: Investigating large
businesses

Question number	Answer	Mark
1(a) (i)	AO1 1 mark B Create customer loyalty	(1)

Question number	Answer	Mark
1(a) (ii)	AO1 1 mark C Franchisee	(1)

Question number	Answer	Mark
1(a) (iii)	AO1 1 mark C Selling assets	(1)

Question number	Answer	Mark
1(a) (iv)	AO1 1 mark D Improved infrastructure	(1)

Question number	Answer	Mark
1(a) (v)	AO2 1 mark B \$135	(1)

Question number	Answer	Mark
1(a) (vi)	AO2 1 mark C \$15.19bn	(1)

Question number	Answer	Mark
1(b)	AO1 1 mark Award 1 mark for a correct definition of brand. Having a unique name/logo/identity (1).	(1)

Question number	Answer	Mark
1(c)	AO1 1 mark Award 1 mark for a correct definition of market segment. Part of a market where consumers have similar characteristics (1).	(1)

Question number	Answer	Mark
1(d)	AO1 1 mark Award 1 mark for a correct reason in the context of the business. Lower profits from sales of iPhones and iPods (1). Smaller market share in the mobile phone market (1). Accept any other appropriate response.	(1)

Question number	Answer	Additional guidance	Mark
1(e)	AO2 2 marks $\\$600/\\800×100 Answer: 75%	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question number	Answer	Mark
1(f)	AO1 3 marks Award 1 mark for identification of a benefit, plus 2 further marks for explaining how this benefit will affect a business, for a maximum of 3 marks. Allows a business to gain information direct from consumers (1), therefore the business can use this information to alter the product (1). As a result, the business will become more competitive (1). NB Answers that list more than one benefit with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Indicative content	
1(g)	A02 (3 marks)/A03 (3 marks) A02 • The technology market rapidly changes as companies such as Samsung release new tablets. • Social media is a fast and convenient way of providing customer support to customers who have problems with their iPhones. A03 • Social media allows Apple to interact with its customers, enabling them to build brand loyalty. • This reduces customer frustration, differentiating Apple's devices from Samsung's and allowing Apple to charge a premium.	
Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (A02) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (A03)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (A02) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (A03)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (A02) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (A03)

Question number	Answer	Mark
2(a)	AO2 1 mark Award 1 mark for a valid barrier in the context of the business. Use of jargon/technical language between phone development teams (1). Breakdown of communication equipment from offices in different parts of the world (1). Accept any other appropriate response.	(1)

Question number	Answer	Mark
2(b)	AO2 1 mark Award 1 mark for valid problem in the context of the business. Mistakes will be made when ordering supplies for iPods (1). Costs of producing iMacs will increase (1). Demotivation of employees who produce iPhones (1). Accept any other appropriate response.	(1)

Question number	Answer	Mark
2(c)	AO1 3 marks Award 1 mark for identification of a benefit, plus 2 further marks for an explanation of why on-the-job training is beneficial for a business, for a maximum of 3 marks. Allows a business to train their staff while they are working (1). They will learn how to do the job faster (1) and, as a result, training costs will fall (1). NB Answers that list more than one benefit with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Answer	Mark
2(d)	AO1 3 marks Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining why product orientation is a disadvantage for businesses, for a maximum of 3 marks. Products may not suit the needs of customers (1) and so potential customers may purchase from rival businesses (1). As a result, the business will lose market share (1). NB Answers that list more than one disadvantage with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Answer	Mark
2(e)	AO1 3 marks Award 1 mark for identification of a benefit of lean production and a further 2 marks for an explanation of that benefit, up to a maximum of 3 marks. Reduced waste (1) - as unnecessary stock is removed from the production process (1) therefore costs are reduced (1). NB Answers that list more than one benefit with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	(3)

Question number	Indicative content
2(f)	A02 (3 marks)/A03 (3 marks)/A04 (3 marks) A02 • Option 1 – Remaining centralised is appropriate to a technology company since there is little scope to adapt hardware in different markets. • Option 2 – Moving to a flat organisational structure will give local managers more freedom to provide technical support that is appropriate to each individual country. A03 • Option 1 – Therefore, remaining centralised provides the scope to take advantage of economies of scale which reduces average total costs (ATC). • Option 2 – This means that Apple’s customer satisfaction will increase because it is catering for customers with different languages/religions. This provides Apple with a USP. A04 • Option 1 – However, customers will still need technical support even though the hardware is identical. Therefore, a centralised organisational structure may reduce the quality of customer service given to each national market. This could damage Apple’s brand image. • Option 2 – However, the extent to which this benefits Apple is limited since most processes are standardised so costs could increase through a flat organisational structure with no real improvement in customer service.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	- Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) - Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	- Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) - Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) - Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Question number	Answer	Mark
3(a)	AO1 1 mark Award 1 mark for a written response or formula. Debts that the company must pay in the short term (1) or trade payables plus overdrafts (1).	(1)

Question number	Answer	Mark
3(b)	AO2 2 marks Award 1 mark for identifying a reason why Apple would want to make use of trade payables, plus 1 further mark for linking it to the context of the question. This means Apple can gain the use of processors from suppliers without paying for them straight away (1). This would improve Apple's liquidity (1). NB Do not accept reasons that would not be appropriate for the context of Apple.	(2)

Question number	Answer	Additional guidance	Mark
3(c)	AO2 2 marks \$68 531m/\$63 448m (1) Answer: 1.08 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question number	Indicative content	
3(d)	A02 (3 marks)/A03 (3 marks) A02 • Apple will be able to measure how profitable it is compared to other technology companies. • Apple will be able to assess whether it has too much capital tied up in stocks of iPhones. A03 • This is because Apple can measure its profit relative to its capital employed to calculate the rate of return (ROCE) on capital employed. • Therefore, Apple will be able to see if it has any liquidity problems caused by holding too much stock.	
Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (A02) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (A03)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (A02) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (A03)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (A02) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (A03)

Question number	Indicative content
3(e)	A02 (3 marks)/A03 (3 marks)/A04 (3 marks) A02 • Option 1 – Apple is a successful technology company. Issuing new shares will raise a significant sum of capital to finance product development. • Option 2 – Apple will have significant retained profits since, in 2015, it made US \$53.4Bn in profit, which can be used to finance product development. A03 • Option 1 – This source of capital is cheaper than using a bank loan, which will allow Apple to minimise interest costs, enabling the company to maintain its profitability and not be subject to increased levels of risk. • Option 2 – Retained profits are the cheapest source of finance. Using this method overcomes the drawback of diluting the control of existing Apple shareholders, something which would occur if new share capital was issued. A04 • Option 1 – However, issuing new share capital will dilute the existing shareholders' percentage ownership of the company, and the costs of issuing new shares may be expensive. • Option 2 – However, by using retained profit there will be less profit available for distribution. As a result, shareholders may be frustrated in the short term since dividends may fall to fund Apple's desire to innovate.

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	0	No rewardable material.
Level 1	1–3	- Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) - Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	- Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) - Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) - Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Question number	Answer	Additional guidance	Mark
4(a)	A02 2 marks $510\,000 \div 30\,000$ (1) Answer = 17 iPhones per worker per day (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question number	Indicative content	
4(b)	A02 (3 marks)/A03 (3 marks) A02 - Foxconn will be able to remove human error in the manufacture of an iPhone, which may result in, for example, faulty LCD displays or badly-fitted cameras. - Foxconn will be able to manufacture iPhones faster so that the average total cost of each unit decreases. A03 - As a result, Apple will reject fewer finished iPhones, allowing Foxconn to gain repeat custom. - The use of robotics will allow Foxconn to make a higher operating profit margin on each of the iPhones that it sells to Apple.	
Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	- Limited application of knowledge and understanding of business concepts and issues to the business context. (A02) - Attempts to deconstruct business information and/or issues, finding limited connections between points. (A03)
Level 2	3–4	- Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (A02) - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (A03)
Level 3	5–6	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (A02) - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (A03)

Question number	Indicative content
4(c)	AO1 (3 marks)/AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks) AO1 • Product quality will enable Apple to gain a competitive advantage. • Increased quality will allow Apple to charge higher prices for its products. AO2 • This is because their devices will now stand out compared to rival manufacturers such as Samsung. • This is because Apple's phones will have better features such as high-resolution cameras and fingerprint scanners. AO3 • Therefore, demand for Apple's devices will increase, leading to higher revenues, which will allow Apple to further increase their profits. • As a result, Apple will be able to add value to their phones, allowing a larger operating profit margin to be generated from each sale. AO4 • However, other factors may also be important in allowing Apple to be successful, such as how they promote their mobile phones to consumers. • However, producing higher-quality mobile phones will increase Apple's costs, therefore it is possible that operating profit margins may fall unless the increase in quality adds value.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues. (AO4)
Level 2	5–8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Draws a conclusion based on sound evaluation of business information and issues. (AO4)
Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues. (AO4)